

BULL pitch deck

PITCH — BULL — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

PROPOSED — PENDING ADJUDICATION: No position today. Buy a one-third starter only if July operating data (expected ~Aug 14) confirms the post-rule-change options run-rate; if that data hasn't appeared by Aug 17, buy a one-quarter starter on the smaller, already-verified June-data edge instead. All additions wait for the August 19 Q2 report's marketing-spend line. Full intended size is cut in half.

What we believe

Webull (BULL, \$7.26) will likely report Q2 revenue of roughly **\$187–194M on August 19**, above the ~\$178M analyst consensus. This isn't a guess about momentum — both of our internal review teams independently rebuilt the revenue from Webull's own published monthly operating data (trading volumes, margin balances of \$990M up 110% year-over-year, interest-earning assets) and both landed above consensus even after adversarial cuts. A new regulatory change effective June 4, 2026 — the SEC's approval of FINRA's loosened pattern-day-trading rules ([SEC order](#)) — is a genuine tailwind to options activity, Webull's core engine.

The stock is also down 57.5% from its 52-week high of \$17.08, which looks like a large dislocation on a screen.

What the market believes

The market is not primarily trading this stock on revenue. On May 21, Webull reported Q1 revenue up 36% — and the stock went to new lows, because the report also showed a \$21.7M GAAP loss, marketing spend up 115% to \$49.4M, and stock compensation up 113%, with management refusing to guide and explicitly signaling intent to keep spending into the day-trading land-grab. The market's operating axis is **discretionary spending, share dilution, and supply** — 147.4M shares plus ~26.8M warrants are registered for resale ([424B3](#)), including 20.75M shares from the China-domiciled founder. Options are pricing roughly a ±13% move into the report.

The market may also be rationally capping the multiple: funded accounts have been **flat at 5.1M for four months**. All the growth is existing customers trading harder at record margin levels — today's +45–50% comparisons become next year's impossible ones.

Why we might have edge

- The revenue reconstruction is real and was verified twice, adversarially. Both teams tried to kill it and only shaved it (from ~\$190M midpoint by \$2–4M for a shrinking low-yield deposit base).

- We have a **free, dated look before the event**: July operating data has historically arrived around the 14th, five days before earnings. If it shows options volume holding above ~4.3M contracts/day *and* funded accounts growing again, the two biggest bear findings (reflexivity, spend-into-flat-accounts) weaken materially — and we get to buy at roughly the same price.
- We caught the market carrying a wrong earnings date (several aggregators show Aug 27; the company’s own Aug 5 press release confirms **Aug 19**). Small, but it tells us attention on this name is sloppy.

Why it might be priced in

Honestly: much of it may be. The “57% off the high” framing is **half-artifact** — our blue team dated the \$17.08 high to August 2025, the decay tail of the low-float post-SPAC squeeze (the all-time high was \$62.90 in April 2025). The stock is actually **61% off its low and only ~11% below its 26-week high of \$8.15** — the tape has already re-rated substantially since the strong June data was published July 15. Worse, the \$17.08 anchor drops out of the 52-week window around **August 18**, so the “big drawdown” statistic self-heals the day before earnings regardless of fundamentals. And the payoff variable that actually moves this stock — marketing spend — is unobservable until August 19. A beat on revenue with another \$60M marketing quarter likely loses money.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Q2 earnings date	Company press release (Aug 5) vs aggregators	Aug 19 after close ; aggregators showing Aug 27 are wrong; our own data pack initially had it unconfirmed	YES
Q2 revenue above ~\$178M consensus	Both teams independently rebuilt from monthly operating data	\$187–194M after cuts	YES (consensus figure itself is aggregator-sourced only)
Interest income headwind	June operating-data PR (source)	Deposits \$3.9B, –13% month-over-month — our red team overstated the hit at \$3–5M; blue team corrected to \$2–4M (deposits are the low-yield leg; high-yield margin balances averaged higher all quarter)	YES
“Market ignores revenue” is fatal to the trade	Blue team internal-consistency test	Red team erred : it simultaneously claimed the rally already priced the June revenue data and that the market ignores revenue data. Both can’t be true. Downgraded from thesis-killing to a sizing constraint	Partially — one data point (May 21) can’t carry a fatal tag
52-week high is a squeeze artifact	MacroTrends price history	High of \$17.08 dated 8/18/25, squeeze-decay era; red team could only call this plausible (no chart access); blue team confirmed it with a date — and found the anchor rolls out of the window ~8/18/26, which red missed	YES

Claim	How checked	Found	Confirmed?
Share-supply overhang	SEC 424B3	147.4M shares plus 26.8M warrants red initially under-counted ; but an April registration the stock rallied 61% through cannot also explain today's discount	YES
Share count ~530M	Q1 press release	447.8M A + 83.9M B = 531.7M basic	YES
Did the July rally predate the June data release?	Brokerage price-history request	Access denied to both teams — never checked	NO
Fraud/promotion archetypes (China small-cap, ramp-and-dump)	Detector suite	Did not fire — volumes are corroborated by third-party OCC/FINRA system data	YES (as a no-fire)

PROPOSED ENTRY BANDS

Neither bench set a dollar book percentage; fractions below are of an intended full position that adjudication should size (both benches agree the original intent should be **halved** for the reflexivity and China-jurisdiction tails). Reference prices from the benches' math: current \$7.26; 26-week high \$8.15; options-implied earnings move $\pm 13\%$ ($\approx$ \$6.32–\$8.20).

- **Now (pre-Aug 14): no position.** Both benches agree.
- **Gate 1 — July operating data (~Aug 14, not company-committed):** if it lands by Aug 17 showing options volume $\geq$ ~4.3M contracts/day sustained *and* funded accounts growing again $\rightarrow$ buy a **one-third starter** near the market (do not chase above ~\$8.15, the 26-week high — above there the dislocation premise is fully dead).
- **Gate 1 fallback (blue team's amendment — red's plan lacked this):** if the July data has *not* appeared by Aug 17, buy a **one-quarter starter** anyway on the verified revenue-vs-consensus edge alone, same no-chase ceiling.
- **Gate 2 — Aug 19 report:** add toward (halved) full size **only if** the marketing line is $\leq$ \$55M and revenue ex-marketing margin holds near the ~40% identity both teams used. A revenue beat with marketing $>$ ~\$60M is a failed test — no adds, reassess the starter.
- **Exit/trim:** no bench set a stop; a post-earnings close below ~\$6.30 (the options-implied downside) with the marketing test failed should force a full re-review rather than an automatic add-the-dip.
- **Catalyst dates:** ~Aug 14 July operating data (inferred, unconfirmed) · Aug 17 fallback deadline (our own rule) · Aug 18 the 52-week-high statistic self-heals (mechanical) · **Aug 19 Q2 results, confirmed** (call 5:00pm ET).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 6.3 (deck-provisional: options-implied downside of the Aug-19 move; post-earnings close below with failed marketing test force)
- filing watch: 6-K until 2027-02-06 (deck-provisional: July operating data (~Aug 14) and Q2 results (Aug 19) arrive as furnished 6-K/press release; marketing)
- dated pack BULL|2026-08-14: BULL: July operating data expected (cadence-inferred, not company-committed) (date confirmed=False)
- dated pack BULL|2026-08-17: BULL: fallback deadline: if July data absent, one-quarter starter on June-data edge alone (date confirmed=False)
- dated pack BULL|2026-08-18: BULL: 17.08 anchor rolls out of the 52-week window; drawdown statistic self-heals mechanically (date confirmed=True)
- dated pack BULL|2026-08-19: BULL: Q2 2026 results after close, call 5:00pm ET — company PR confirmed (date confirmed=True)

What remains unverified

- **Whether the rally already priced the June data.** Brokerage price history was permission-denied to both benches. This is the single fact that would arbitrate between red's "stale story" kill and blue's partial overturn.
- The ~\$178M consensus is from an aggregator (TipRanks), not a primary survey.
- The ~Aug 14 July-data date is inferred from cadence, not company-committed.
- Webull Financial LLC's regulatory record (BrokerCheck never run), the 20-F's disclosure-exemption elections, and any market-maker/payment-for-order-flow concentration note in the 20-F — all unread.
- Marketing-spend trajectory: unknowable before Aug 19 by construction. That is the trade's real bet, and we are honest that we have no edge on it — only a defined test.

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